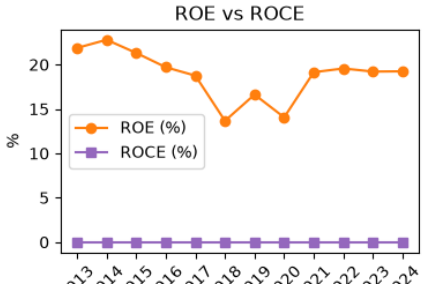
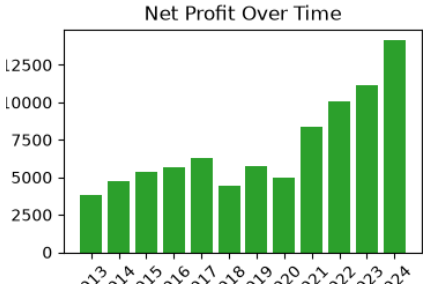
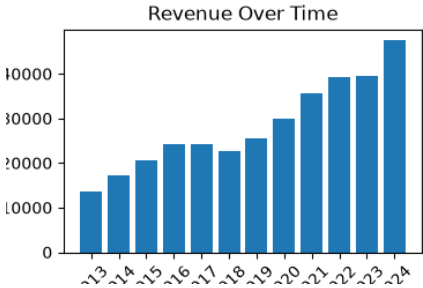


REC Ltd (RECLTD)

Revenue Rs. 47517 Cr	Net Profit Rs. 14145 Cr	ROE 19.2%
ROCE 0.0%	D/E Ratio 6.58	Asset Turnover 0.08



Financial Deep Dive & Insights



Capital Allocation Pattern: 7: Start-up / High Growth

Strengths (Pros)

- Company has strong Return on Equity of 19.2% ($\geq 15\%$).
- Company has delivered good revenue growth of 13.3% CAGR over last 5 years.
- Company has delivered strong profit growth of 19.8% CAGR over last 5 years.
- Company maintains a healthy net profit margin of 29.8%.
- Company has been maintaining a healthy dividend payout of 30.0%.
- Company is a Nifty 100 constituent, signifying size and liquidity benchmark status.

Weaknesses (Cons)

- Company has low Return on Capital Employed of 0.0% ($< 10\%$).
- Company has negative Free Cash Flow of $\blacksquare$ -59554 Cr.
- Company has elevated debt-to-equity ratio of 6.58x.
- Company shows poor asset utilisation with Asset Turnover of 0.08x.
- Company's FCF Conversion of -4.21x suggests poor cash realisation from profits.
- Stock valuation incorporates a premium that may limit near-term upside.